THE IMPEDIMENTS

China began manufacturing way back in the 1980s, whereas India is still coming of age and lacks capabilities in high-value toy categories such as electronic and remote-control toys and video games. "India has the capability to build soft toys, board games, wooden toys, puzzles and plush toys, but local manufacturing of electronic toys has just started and will take a year or two to reap results," says Ajay Aggarwal, president, Toy Association of India.

Toys are also highly intricate, requiring significant upfront investments in tooling. Most toys are made using plastic and the injection-moulding technique, which is expensive. "The capital investment required to manufacture one product, say, a dollhouse with over 50 small parts, can vary from $100,000 (Rs 82 lakh) to $250,000 (Rs 2 crore). If a brand is making 50-60 products, it will have to invest such amounts for each product," says Aravind Melligeri, chairman and CEO, Aequs. There is also a high compliance cost as each toy part must conform to safety norms.

Besides, while the Indian market is growing, it does not offer the volumes required for economies of scale. "We have not started manufacturing our private label in India yet," says Chhabra of Ace Turtle, "the need for scale and a 'minimum order quantity' will take a year or two to achieve. The original plan was to open a few large-format (25,000 sq. ft) stores and a few smaller satellite stores. "Today, even our biggest store, in Mumbai, is only 13,000 sq. ft. We don't have enough variety to fill up the stores."

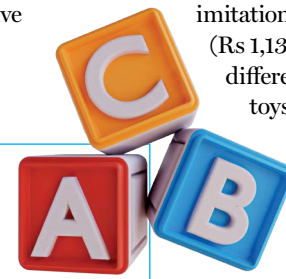
PLAYING A GLOBAL GAME

Given that India's organised toy market is still fairly small, manufacturers are focusing on global markets. Funskool India, which exports its brands such as Giggles, Fun Dough, Handicrafts and Play&Learn to 32 countries, plans to nudge that up to 40 this fiscal. "Almost 60 per cent of sales come from exporting our own brands and manufacturing for international companies," says R. Jeswant, CEO of Funskool India.

Similarly, brands like Smartivity are leveraging Amazon's Global Selling programme to sell to the world. "The US toy market is 20 times India's, and our revenue from exports has been increasing very fast. From 15 per cent in FY23, we hope to close the current fiscal with 50 per cent," says Ashwini Kumar, co-founder, Smartivity.

Currently, India is a marginal player in the world toy trade, with a 0.3 per cent share in global exports and 0.1 per cent in imports, says the GTRI report. Realising this, the government in 2022 signed the Comprehensive Economic Partnership Agreement with the UAE and the Economic Cooperation and Trade Agreement with Australia to provide zero-duty market access to local manufacturers and enable them to integrate into the global toy value chain.





"Toys are a labour-intensive industry, and wages in India are a third of those in China and half those in Vietnam. However, overall manufacturing competitiveness remains a concern"

ARAVIND MELLIGERI
Chairman and CEO, Aequs

India does have an advantage in cheap labour. "Toys are a labour-intensive industry and wages in India are a third of those in China and half those in Vietnam, so we save 5-10 per cent on that front," says Melligeri. However, overall manufacturing competitiveness remains a concern. This is because raw material prices, constituting 50-60 per cent of the cost, are higher in India than in China. Logistics add an extra 3 per cent, adds Melligeri. Plus, several critical toy-making materials and components such as glass eyes for dolls, beads, imitation stones, various types of plastics, electric motors and remote-control apparatus are still imported. Imports of inputs used for making toys are much higher than those of finished toys, according to the GTRI report. In FY24, while India had trimmed its finished toy imports to $65 million, it imported glass eyes for dolls, beads and imitation stones worth $137.2 million (Rs 1,130 crore). "Overall, the cost differential was 40 per cent between toys manufactured in China and India but, over time, it has reduced to 20 per cent, and that is largely because the government in China gives subsidies on manufacturing," says Kumar of Smartivity. There is also a dearth of expertise in product development. "For any toy brand, introducing new toys at a fast pace is critical for continued success. But we do not have that kind of talent for innovation in the country right now," says Jeswant of Funskool.

The import of Chinese products has not stopped either, though in smaller quantities than before and via unauthorised routes such as Vietnam and Cambodia. Importers exploit the grey areas in regulations and bring in unbranded toys in completely knocked-down form, paying 20 per cent import duty. "Hence, they offer better margins, up to 55-60 per cent, to the distributor, which is not possible for Indian brands," says Vasanth Tamilselvan, executive director, Ariro, which makes wooden toys and Montessori aids. The industry is also awaiting the production-linked incentive scheme announced in the February interim budget.

India's toy industry is at an inflection point. The next 1-2 years will be critical for it to resolve long-standing issues and unlock its full potential. Toys may be meant for children to play with, but making them is no child's play. ■